

FA565 Business Ethics and Corporate Governance

Week 1pt2:
Introduction to Business Ethics

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Globalisation: a key context for
business ethics?

Discussion

- What is Globalisation?
- Think of some specific examples under the following headings:

Political

Social

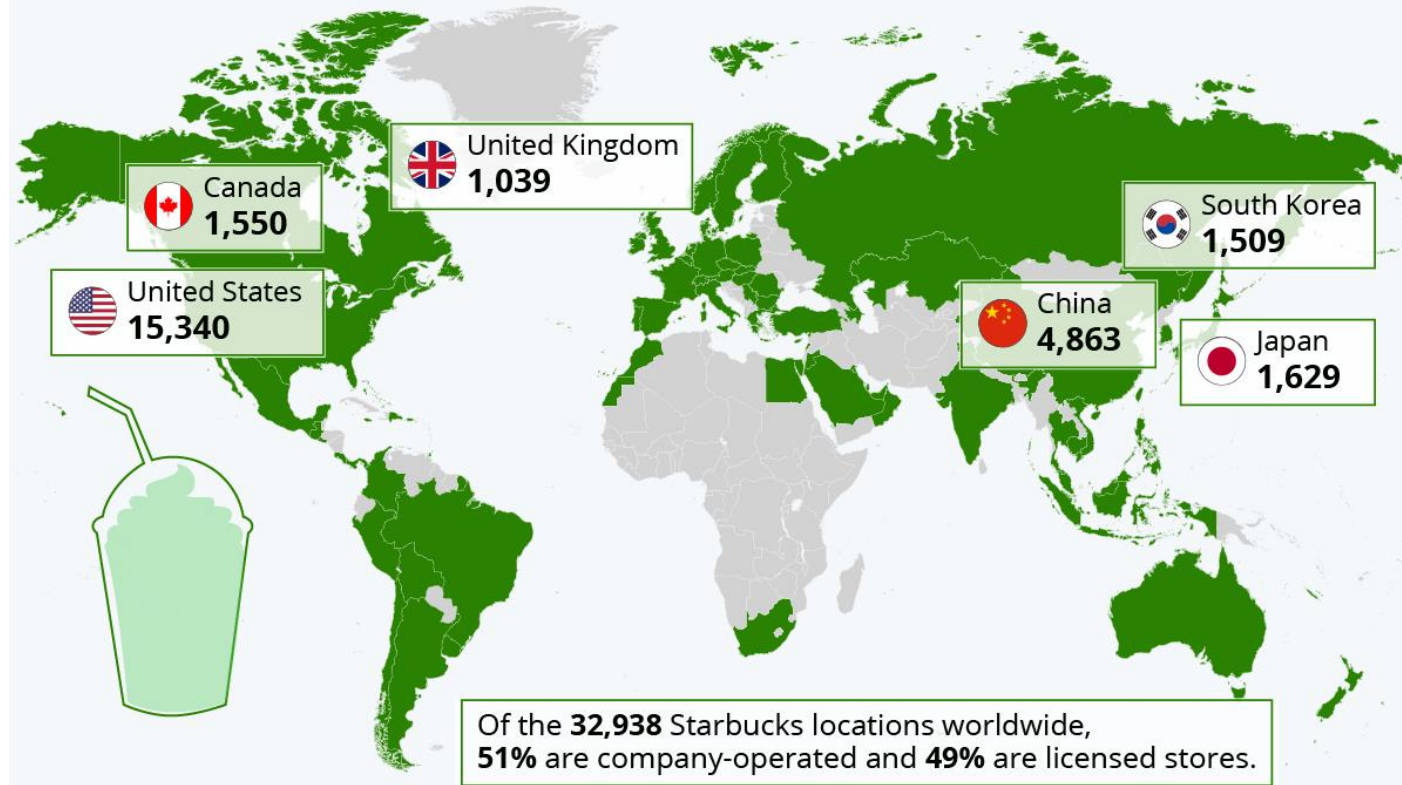
Economic

What is Globalisation?

- Globalisation is ongoing integration of political, social, and economic interactions at the transnational level, regardless of physical proximity or distance.
- Globalisation has led to a situation where events, people, or ideas from faraway places can have a very palpable effect on people in otherwise unconnected locations and situations.

Starbucks at 50: A Sprawling Coffee Empire

Countries with the most/at least one Starbucks store
(as of December 27, 2020)



Source: Starbucks



Relevance of Globalisation for Business Ethics

Globalisation can affect all stakeholders of the corporation.



Cultural
issues

Legal issues

Accountability
issues

Regional Differences

From textbook p24	N. America	Asia
Who is responsible for ethical conduct in business?	The individual	Top management
Who is the key actor in business ethics?	The corporation	Government
What are the key guidelines for ethical behaviour?	Corporate codes of ethics	Management discretion
What are the key issues in business ethics?	Misconduct & immorality in single-decision situations	Corporate governance and accountability
What is the dominant stakeholder management approach?	Focus on shareholder value	Implicit multiple stakeholder approach, benign managerialism

Sustainability: a key goal for business ethics?

- Sustainable development is development that meets the needs of the present without compromising the ability of future generations to meet their own needs. (World Commission on Environment and Development 1987)
- Sustainability refers to the long-term maintenance of systems according to environmental, economic and social considerations

Triple Bottom Line

- Coined by John Elkington
- Alternative accounting framework that looks towards sustainability rather than purely financial profit
- Three dimensions:

Social
perspectives

People

Environmental
perspectives

Planet

Economic
perspectives

Profit

Corporate Commitments to Sustainability

Company	Sustainability Commitment/Policy	Source
The Volkswagen Group	The Volkswagen Group has made a commitment to sustainable, transparent and responsible management. In line with the recommendations of the German Corporate Governance Code, we practice Group-wide sustainability coordination and forward-looking risk management and ensure a clear framework for the future-oriented handling of environmental issues, responsibility towards our employees and social engagement by our brands and in the various regions.	https://www.volkswagenag.com/en/sustainability/policy.html (2019)
Shell	Sustainability at Shell means providing energy in a responsible manner, respecting people, their safety and the environment.	https://www.shell.com/sustainability/our-approach/sustainability-at-shell.html (2019)
Marks and Spencer's	Plan A is our way to help build a sustainable future by being a business that enables our customers to have a positive impact on wellbeing, communities and the planet through all that we do.	https://corporate.marksandspencer.com/plan-a (2019)
Alibaba Group	At Alibaba, we believe acting in a socially responsible way is part of our business model. Since our founding, we have been highly committed to supporting and participating in charitable and socially responsible projects that align with our core values and mission, and to establishing a technology-driven charitable ecosystem to extend the benefits of our technological capabilities to the community at large.	https://www.alibabagroup.com/en/about/sustainability (2019)

A high-angle, close-up photograph of two vibrant blue ceramic coffee cups filled with latte. The cups are set on matching blue saucers and are placed on a rustic, light-brown wooden table. The cup in the foreground is in sharp focus, showing a detailed latte art design of a heart with radiating lines. The cup in the background is slightly out of focus. The word "Break" is superimposed in a white, outlined font over the center of the foreground cup's latte art.

Break

Global McEthics: should McDonald's ethics be standardised across the globe?

Open Case Study 1 from the Reading List (you should have read this prior to this session).

In your table groups, discuss the following questions and then be prepared to feed back to the rest of the group.

Question 1

- Set out the main criticisms that have been levelled at McDonald's in the West.
- To what extent are these criticisms likely to be replicated in Asia? What differences can be predicted?

Question 2

Describe and evaluate the tactics used by McDonald's in responding to its critics in the past.

Will these work to the same degree in Asia?

You may find it useful to consider its responses prior to 2003 and after 2003 separately.

Question 3

Should McDonald's offer healthy alternatives to the same extent in all the countries in which it operates, or just those where it has been criticised in the past, or is expecting further regulation?

What if customers overseas do not want healthy options?

Question 4

How could McDonald's seek to avoid further criticism in the future?

Can the company realistically present itself as an ethical corporation?

Question 5

How sustainable is the fast-food industry from the point of view of the Triple Bottom Line?

Social
perspectives

People

Environmental
perspectives

Planet

Economic
perspectives

Profit

The image features a dense field of 3D question marks. Most are dark grey and recede into the background, creating a sense of depth. In the center, a single, larger, bright orange 3D question mark stands out prominently. Overlaid on this central orange question mark is the text "Any Questions?" in a clean, white, sans-serif font.

Any Questions?